



# Sea change: the market implications of the threat to the maritime commons

September 25, 2026

The sea is overwhelmingly the most important conduit for global commerce. It is used to transport 80% of the world's trade in goods and 90% of the trade in oil. Even in a world in which services trade is likely to grow in importance owing to AI, the world's oceans remain supreme, with submarine fibre optic cables carrying close to all of the world's internet traffic.

Painstaking multilateral negotiations after 1945 established a legal architecture to enable the almost frictionless movement of commerce across the seas and delimit nations rights' to restrict freedom of navigation. This process learned from the hugely damaging experience of two world wars, and preceding centuries of maritime warfare which had devastating effect on international trade and finance.

Recent years have seen a growing threat to this paradigm. The frequency of maritime supply shocks is increasing at an alarming rate. After the COVID pandemic generated significant friction in maritime supply chains, geopolitics has come to the fore, including Russia's Black Sea blockade in 2022, Houthi attacks on commercial shipping in the Red Sea in 2023, a resurgence in piracy off the Horn of Africa and most recently the twin blockades of the Strait of Hormuz and Bab el Mandeb Strait. This has dovetailed with an apparently reduced US willingness to uphold freedom of navigation, perhaps as part of a broader trend away from supporting the 'rules of the game' that underpin an open international economy. In short, the sea is increasingly a theatre of geoeconomic competition, a trend that could accelerate further with climate induced changes to Arctic maritime routes.

We argue that economists and market participants should be more alive to these risks. The lexicon of tariffs has dominated the market's attention over recent years, but tariff induced supply shocks have proved far less damaging than physical supply shocks. Disruption to ocean commerce has generated outsized impacts on both the prices of goods and the volumes of cross border trade.

We distinguish between three forms of maritime shocks of increasing intensity. From localised disruption that can generate short lived effects on prices, to more serious regional disruptions like the one at present in the Gulf, to global events (disruptions with the capacity to generate a global recession). In the latter category, we argue that the Indo Pacific Region, especially the South China Sea, East China Sea and Taiwan Strait, increasingly qualify as a major risk. We end our report with an analysis on the sensitivity of different economies to maritime shocks, noting that East Asian and European nations stand out as by far the most vulnerable.

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## Introduction

It is difficult to overstate the importance of the sea when it comes to world trade. Maritime transport moves four fifths of all goods traded world wide.<sup>1</sup> Over 90% of exported oil is seaborne.<sup>2</sup> After energy, coal, iron ore, grain and manufactured goods make up the remaining 60% of all seaborne cargo. The 'container revolution,' starting from the late 1960s, dramatically improved the handling efficiency of cargo, and has been seen as one of the primary drivers of global trade growth during the second half of the 20<sup>th</sup> century.<sup>3</sup> The sea doesn't just ship goods, its floor carries electricity and data, with fiber optic submarine cables carrying 99% of the world's international internet traffic.<sup>4</sup>

If the world's oceans were the arteries for the world's second great globalisation from 1945 onwards, the third decade of the 21st century have seen their disruption. The last six years have seen a dramatic rise in maritime based supply shocks.

The 2020 pandemic challenged supply chains globally. This included container shipping, which faced public health restrictions causing a large share of the global carrier fleet to be held in port. More recently, geopolitical events have come to the fore. Russia's 2022 invasion of Ukraine was accompanied by a maritime exclusion zone in the Sea of Azov and parts of the Black Sea, as well as illegal Russian attacks on merchant shipping, paralysing trade in the region. In response to Israel's military activities in Gaza following the 7/10 attacks, the Houthis began illegal attacks on commercial shipping transiting the Red Sea, which resulted in a severe fall in trade volumes. After an international task force formed in 2009 successfully curbed Somali pirate attacks around the Horn of Africa, recent years have seen a resurgence of hijacking. And this year has seen the twin shocks of Iran's closure of the strait of Hormuz and the Houthi blockade on Saudi shipping.

As a result, risk based analysis of maritime choke points has proliferated. We argue, however, that disruptions of this kind should be seen not as isolated risk events, but as part of a trend. An understanding of the legal and historical basis of maritime commerce suggests that the rules of the game are changing. Near frictionless maritime passage is being disrupted by simultaneous challenges to its legal architecture and, more crucially, the US and its Western partners' willingness to enforce these rules. The Trump administration's recent toying with tariffs on the strait of Hormuz, a break from established international norms, is but one example.

There has been far more oxygen dedicated by markets to discussing the impact of tariffs in recent years by the economic community, but the impact of tariffs on trade are relatively trivial compared to the potential disruption caused by maritime trade blockages. Indeed, in this piece, we argue that physical supply shocks to trade can be among the most disruptive types of economic event. The global shipping industry is highly sophisticated, but its network can also prove fragile. We identify three forms of supply shock of increasing intensity: shocks that increase freight rates, regional blockades with some scope for rerouting or substitution of maritime routes, and global disruptions to the freedom of the seas.

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1 [UNCTAD](#) statistical bulletin, April 2025

2 [Stanford Energy](#), March 2025

3 Bernhofen et al, "Estimating the effects of the container revolution on world trade." [Journal of international Economics](#), January 2016

4 [United Nations](#)



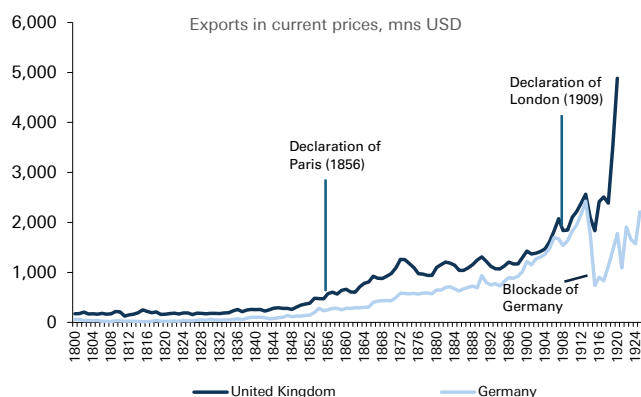
Our work over the last eighteen months has built a framework to understand the implications of shifts in US political economy for the international economy. In particular, we have examined how the US's increasing unwillingness to act as a 'benevolent hegemon' upholding the international order could affect markets, focusing on the dollar, global imbalances and interest rates, and the more frequent use of economic coercion.<sup>5</sup> Shifts in the maritime arena are yet another example of this shift. Increasingly, the sea is becoming a theatre of geoeconomic competition, while the 'Pax Americana' that has thus far mostly guaranteed free movement across the seas is coming under threat. We end the report with specific case studies on the potential implications of a disruption to commerce around critical maritime routes.

### A short history of maritime law and war

*"The bare principles of international maritime law are no more than a reasonable compromise between a belligerent's contention, that he should be permitted to stop an enemy's commerce, wherever it is to be found, and the neutral's rejoinder, that he is no-one's enemy, and he has a right to trade and traffic with any country with which he is at peace."* **"Official Foreign Office Account of Britain's Economic Blockade of Germany, 1914-1919," published 1937**

The maritime blockade dates back to the Peloponnesian Wars in 405 BC, but it was not until the early 19<sup>th</sup> century that a recognisably modern framework of the rights of belligerents and neutrals, and legal basis around maritime commerce, started to be drawn up. The blockade and counter-blockade of Napoleonic France saw precedents established for what was acceptable for 'prizes,' namely the ships and goods that warring parties were allowed to seize and confiscate, the law of 'blockade,' and other important concepts.

Figure 1: Growing trade in the 19<sup>th</sup> century incentivised the creation of the legal architecture of maritime commerce, which was sharply disrupted by the First World war



Source : Deutsche Bank, Federico, G. and Tena-Junguito A. (2019): World trade, 1800-1938: a new synthesis. Revista de Historia Económica-Journal of Iberian and Latin America Economic History, Vol 37, n.1. <https://doi.org/10.1017/S0212610918000216>

Figure 2: The Union's blockade on confederate shipping devastated the South's cotton exports



Source : Deutsche Bank, data from Powell, J. "Cotton, Liverpool and the American Civil War," PhD thesis October 2018

5 See, [FX Special Report](#), "The Unruly Hegemon: what a decline in US leadership means for markets," 13<sup>th</sup> March 2025, [FX Special Report](#), "How Defence Spending will reduce global imbalances and weaken USD," 6<sup>th</sup> May 2026 and [EM Special Publication](#), "Geoeconomics 101: implications for the dollar, emerging markets and beyond," 21st January 2026



These were developed further during the mid-19th century as the rapid rise in global trade led merchants, manufacturers and governments to push for greater protections for mercantile shipping. The 1856 Declaration of Paris provided more stringent legal definitions of blockade and what constituted the contraband of war (trade between neutrals and belligerents that assisted the war effort and could therefore legitimately be seized). This was developed upon by the 1907 Hague Conference. Britain, then the preeminent economic and maritime power of the day, took the lead at these conferences, but also pursued a strategy of Imperial Defence in the late 19<sup>th</sup> century based on the fortification of its coaling stations and ports across the globe, as well as developing a 'two-power' naval standard,' whereby its naval strength would be at least as powerful as its next two rivals combined.

This underscores that while the establishment of legal norms helped maritime commerce become more predictable and orderly, ultimately their survival depended on the willingness of their signatories to enforce them. Maritime economic warfare during the 19<sup>th</sup> and 20<sup>th</sup> centuries often saw these norms suspended. The results could be devastating. Britain's economic blockade of Germany during WW1 debilitated the German war effort as well as causing mass starvation. It saw a ~65% collapse in German exports based on trade data from the Federico Tena database (figure 1). The Union's blockade of Confederate Ports during the American Civil War crippled the confederacy's war effort, with export volumes to Britain falling by close to 100%.

After the disruption caused by the second world war, the growth in global trade over the second half of the 20<sup>th</sup> century once again motivated the codification of rules of the sea. Successive UN conferences from the mid 1950s onwards culminated in the 1982 UN Convention on the Law of the Sea (UNCLOS), which settled several ambiguities in international law. Among these were geographically defined territorial rights for maritime states, including the twelve mile territorial limit, and the concept of innocent passage, as well as the status of international straits and transit passage. Another increasingly important provision of UNCLOS was the establishment of a legal framework governing the laying and protection of undersea cables.

Although the Convention was ratified by almost every industrial nation, the United States has remained a notable exception. Initially, this was due to concerns in the Reagan presidency that to do so would transfer US claims on seabed ownership. Since then, the US has come close to ratification under Presidents Bush and Obama. Nevertheless, as we shall see below, up until recently the US has largely upheld and enforced the broad provisions of UNCLOS through its Navy and Coast Guard as accepted customary law, with the exception of Part XI of the agreement which regulates the mineral resources of the seabed. Indeed, the US has been described as the 'Convention's best supporter,' despite not ratifying the treaty.<sup>6</sup>

### Some important principles in present day maritime law

**Territorial waters.** The sovereign territory of coastal states. Under the 1982 UN Convention on the Law of the Sea this was defined as up to 12 nautical miles from the low water mark of a state's coast. Some ambiguities exist with respect to defining this limit, including whether states utilise continuous baselines to define their coast, or straight baselines (mapping coastal points from a to b in a straight

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<sup>6</sup> Leah Cole, Lawfare, Not Warfare, [Harvard Kennedy School report](#)



line).<sup>7</sup>

**International strait.** A passage of water used for international navigation between one part of the high seas or exclusive economic zone and another. Where the strait is narrow enough such that it is entirely made up of certain states' territorial waters, the law of transit passage applies. This law provides freedom of movement for ships and aircraft, provided their journey is for the purpose of continuous and expeditious transit. The concept of transit passage was recognized in the 1982 UN Convention in the Law of the Sea.<sup>8</sup>

**Innocent passage.** The concept of innocent passage is more restrictive than transit passage. It provides a right of passage through the territorial sea of all states, "so long as it is not prejudicial to the peace, good order, or security of the coastal State." Innocent passage can be suspended or safe routes established if there are risks to pollution, smuggling, security concerns etc. The regime of innocent passage was recognised in the 1958 Convention on the Territorial Sea.<sup>9</sup>

**Blockade.** A blockade constitutes a maritime or airborne operation to prevent enemy and neutrals from entering an airport, port or coastal area. There is no established body of international law that defines a military blockade, but military custom generally agrees on several principles.<sup>10</sup> A blockade must be declared and notified to all states, including details such as geographical scope. A blockade needs to be 'effective,' in other words appropriately policed by military or other means. Finally, it must be impartial, and not applied on an ad hoc or discriminatory basis to neutral vessels of different states. A 'maritime exclusion zone' or 'maritime interdiction zone' constitute less severe versions of blockades. In the former case, they are announced by states as part of military operations whereby enemy ships in the area are liable to be fired upon. In the latter case, they are usually introduced as part of counter-terrorism, piracy or smuggling operations, whereby ships are liable to be boarded and searched as part of operations.

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## Freedom of the seas and the Pax Americana

Despite certain flaws, UNCLOS is widely regarded by practitioners, governments and scholars as one of the most successful multilateral treaties ever created. Among its achievements have been the regulation of international maritime trade, the de-limitation of coastal territorial and economic claims and ultimately the preservation of the right to free navigation on the high seas.

The United States, along with other Western partners, have been active enforcers of UNCLOS. In the late 1980s, the Reagan administration launched Operation Earnest Will to protect commercial shipping from mines and missiles fired by Iran in the Gulf of Hormuz.<sup>11</sup> More recently, the United States was the largest contributor to the multinational anti piracy Operation Ocean Shield in the Horn of Africa between 2009-2016. Outside of military operations, one of the main ways through which the United States has freedom of the seas is through Freedom of Navigation Operations (FONOPS), which involve the transiting of naval vessels through certain stretches of water such as the Taiwan strait in order to push back

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<sup>7</sup> More details on legal [definition](#).

<sup>8</sup> More details on legal [definition](#).

<sup>9</sup> More details on legal [definition](#).

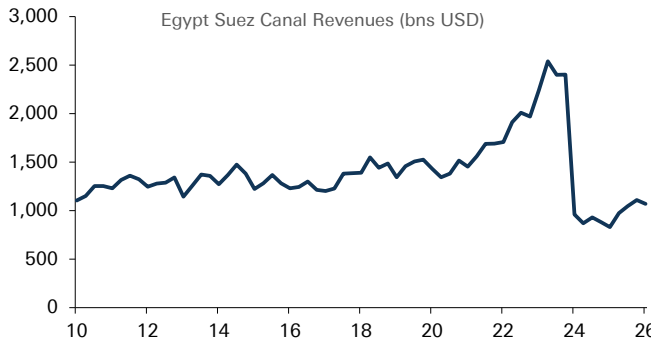
<sup>10</sup> See [Naval College Review of Theories of Blockade](#), Winter, 2021

<sup>11</sup> [Revisiting the Tanker War](#), WOTR, March 2024



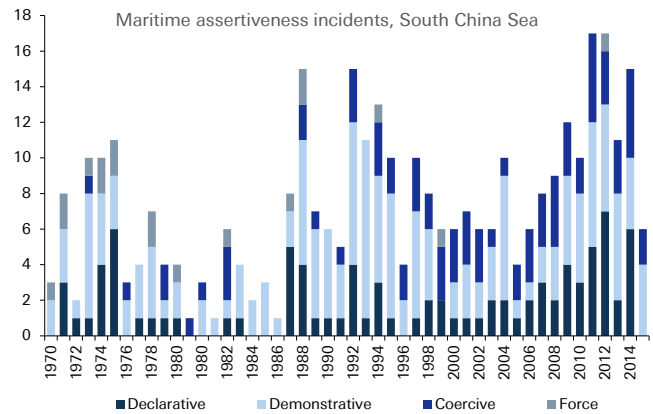
against territorial claims or other navigational restrictions seen as out of line with international law.<sup>12</sup>

Figure 3: Egypt's Suez Canal revenues show little recovery from their collapse in late 2023 due to Houthi attacks in the Red Sea



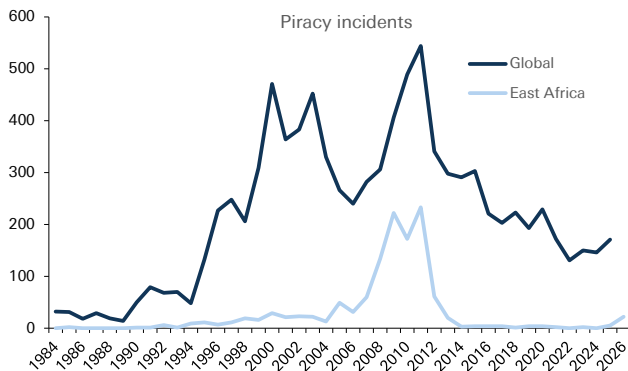
Source : Deutsche Bank, Haver Analytics

Figure 4: Territorial incidents in the South China Sea have picked up markedly in recent years



Source : Deutsche Bank, Maritime Awareness Project

Figure 5: After a decade of calm, piracy incidents in East Africa are picking up again



Source : Deutsche Bank, Piracy Reports compiled by IMO

Figure 6: Damage to the C-Lion 1 submarine cable has been ascribed to sabotage



Source : TeleGeography Submarine Cable resource

Prior to the Iran war, the most visible challenge to freedom of navigation in the Middle East region was the start of Houthi attacks on commercial shipping in the Red Sea. Although initially focused on ships with unspecified 'links' to Israel, these attacks broadened out to incorporate a wide range of ships, dramatically reducing traffic flows through Suez since 2023. A useful visual manifestation of this are Egyptian Suez revenue numbers which have still to meaningfully recover from the drop of traffic (figure 3). Operation Prosperity Guardian, the taskforce launched by the United States was largely ineffective in restoring commercial traffic. This

<sup>12</sup> for an example of FONOPS, see US Navy [website](#). The US, and other international navies, also enforce UNCLOS through the conduct of counter-terrorism, counter-drug smuggling and environmental operations



blockade was subsequently expanded by the Houthis in July this year to incorporate attacks on Saudi vessels and energy infrastructure.

Another important development has been the growing assertiveness of actors in the South China Sea. Data from the Center for Strategic and International Studies suggests that occurrences of maritime assertiveness have dramatically increased over the last decade (figure 4). The CSIS notes that even if incidents have moved away from the outright use of force towards more coercive and demonstrative actions, China, the Philippines and Vietnam have each sought to both claim and counter each other's military/security, fisheries and natural resource rights.<sup>13</sup> Tension has been especially pronounced in the Taiwan strait, with China objecting to FONOPs from the US, UK, New Zealand, Australia and Germany in recent years, while both Taiwan and China have conducted military exercises in the strait.

Still further threats to maritime security have come from non-state actors or as a result of asymmetric activities designed to undermine or challenge commercial networks. One of these has been the resurgence of pirate attacks off the Horn of Africa, with 15 reported incidents so far this year after joint-coalition operations had all but quashed Somali pirate attacks over a decade ago (figure 5).<sup>14</sup> Another extremely important area of maritime connectivity that is seemingly under threat concerns undersea cables and pipelines. After incidents such as the sabotage of the Nord Stream 2 pipeline in 2022 and more recently telecommunications cables such as the C-Lion in the Baltic (figure 6), there is increasing focus among policymakers as to the vulnerability and economic cost of attacks on sub-sea infrastructure.

**Why is Hormuz so important?** The blockade of the straits of Hormuz began in early March this year, shortly after the instigation of US and Israeli military attacks on Iran. Iran's blockade, the US counter-blockade and the subsequent MoU adopted in June this year (in practice suspended later that month), represent major departures from the rules based maritime framework enforced by the US and other Western allies.

First, by deliberately targeting neutral vessels, Iran's 'blockade' was a clear violation of both UNCLOS and the established military practice of blockade. This is simply the latest of numerous examples of Iran's flouting of international law and transit rights through the strait, albeit probably the most severe recent example.

Second, while the US's initial blockade on Iranian ships headed to or departing from Iranian ports had a solid legal basis, the subsequent expansion of this blockade at a global level, including ships of any flag state deemed to be carrying contraband of war, has been widely considered to be legal overreach.<sup>15</sup>

Third, Iran's plans to impose a transit toll on vessels through the strait of up to 7% of cargo value is a violation of transit rights established under UNCLOS. Iran is not a signatory to the convention, and it has argued that its actions are permissible under the narrower definition of the rights of innocent passage. Nevertheless, even under the narrower 1958 Convention on the Territorial Sea to which Iran is a signatory, this action is considered by maritime law experts to be illegal.<sup>16</sup>

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<sup>13</sup> [NBR Special Report 99](#), May 2022

<sup>14</sup> Al Jazeera, 31st August 2026

<sup>15</sup> See the following [legal analysis](#).

<sup>16</sup> For a detailed analysis, see July 2026 [Al Jazeera report](#)



Most surprising, however, has been President Trump's apparent endorsement of a toll based system, to apparently enable the US to recoup the cost of military operations on Iran. Although some analysts have pointed to navigational or tug fees as offering a potential precedent for these actions, this is misleading. Navigational assistance or tugs are supplied for the safe passage of commercial vessels (e.g. in busy shipping lanes with physical obstacles) and consistent with UNCLOS.<sup>17</sup> By contrast, the US's willingness to countenance transit tolls as an acceptable resolution mechanism to the crisis in turn calls into question the White House's support for the post 1945 architecture. This commitment has also been challenged by other actions taken by the Trump administration, including the recent push for deep sea mining on the US continental shelf, in violation of UNCLOS's provisions for the deep sea bed being a common global good.<sup>18</sup> Still a further concern with respect to the US's posture towards maritime security has been the dramatic reduction in US Navy FONOPS in the strait of Taiwan, which have fallen more than 50% from the previous Biden and Trump administrations.<sup>19</sup>

Looking ahead, it seems increasingly likely that the sea becomes another theatre of geoeconomic competition, which may in turn be motivating US policy actions. When it comes to Greenland and the Arctic, for example, climate induced changes to maritime routes, especially the possible emergence of viable routes through the Northwest Passage and Transpolar Sea Route, could have informed recent US policy shifts.<sup>20</sup> Similarly, there have been reports that Russia is considering withdrawing from UNCLOS on account of territorial claims over the Arctic. UNCLOS governs the Arctic, although a number of states have recently sought to extend the limit of their claims on the continental shelf in that region.<sup>21</sup>

Further examples of increased US attention on strategic maritime considerations in its hemisphere were the respective export blockade on Venezuela earlier this year, whose legality was a subject of discussion although ultimately fell under the umbrella of sanctions enforcement, fuel blockade in Cuba and attention directed towards the Panama Canal.

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## From global commons to economic warfare?

Markets should care about these developments for the simple reason that supply shocks emanating from major disruptions to maritime trade and digital routes can have severe global economic ramifications. In previous research we have discussed how shifts in US policy over recent years have called into question the maintenance of 'global public goods,' such an open international economic environment. Much in the same way as the Trump administration's increased use of economic coercion using tariffs has undermined confidence in multilateral trade institutions and the 'rules of the game' when it comes to settling trade disputes, should the US cease to enforce international maritime law, the risk could be that a 'race to the bottom' ensues in which state actors can leverage maritime coercion for political or economic purposes.

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17 FT Alphaville's coverage of this issue in an August 3<sup>rd</sup> report appears to disregard widely accepted international customary maritime law as well as UNCLOS

18 See, [Lowy Institute Report](#), 24<sup>th</sup> October 2025

19 See "[Breaking Defence](#)" August 2026

20 Greenland will be strategically important for both of these routes, which may have motivated US territorial claims. See [Belfer Centre](#), January 2025

21 See [Arctic Institute](#) report April 2024

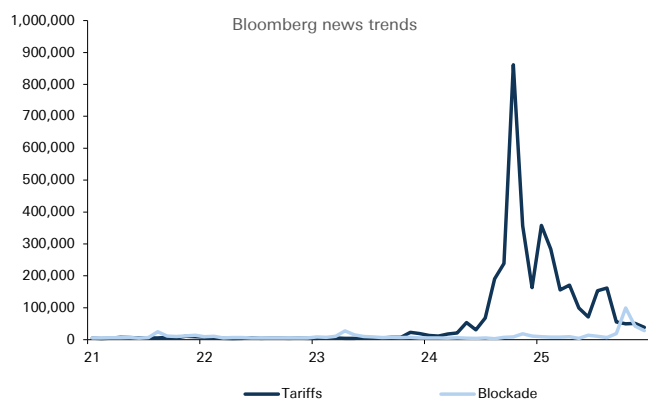


Surprisingly, maritime trade disruptions has still meaningfully lagged behind tariffs in the market lexicon (see Bloomberg news trend for 'tariffs' and 'blockade' figure 7). Recent years has shown that physical supply shocks have larger economic effects than tariffs, however. It is difficult to detect a protracted impact on US import prices, for example, from US tariffs imposed either in the first or second Trump administration, but the impact from the pandemic, Russian invasion of Ukraine and more recently the Hormuz crisis has been much more pronounced (figure 8). More formally, the IMF recently modelled the impact of port delays on US inflation at port and product level, finding that a one hundred hour delay in ports lifts US inflation by 50bp over the following five months.<sup>22</sup>

The economic impact extends well beyond price effects. For countries that are especially exposed to maritime imports, with limited substitutability in the near term for affected products, import volumes will also be hit. This was evident during the recent disruption to energy markets in Asia, which saw Bangladesh, South Korea, Thailand and Vietnam imposing energy rationing, and work from home requirements ordered in Indonesia and Malaysia. Figures 9 and 10 track import volumes in Korea and China and clearly demonstrate the impact both on energy imports (first chart) and overall import volumes (second chart) of recent maritime disruptions. In Pakistan, the force majeure declared by Qatar on LNG deliveries has forced Pakistan to instigate widespread load shedding on its electrical grid.

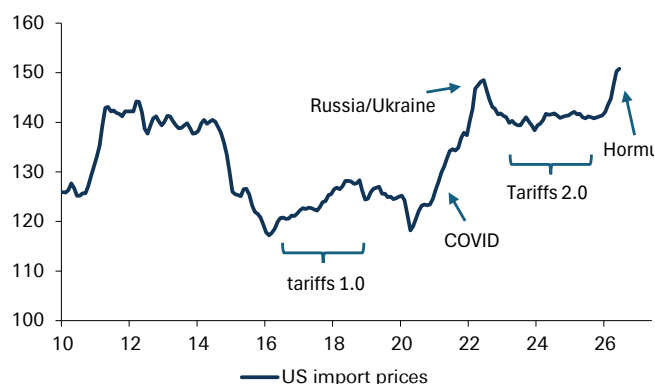
At a global level, the IMF's downgrades to global growth on account of tariffs last year amounted to 0.2% over two years, but its downgrade in the aftermath of the Ukraine war was a cumulative 1%.<sup>23</sup> In short, then, in a world in which supply shocks have become the dominant concern for economic policymakers, the risks to maritime commerce should occupy the first rank of worry.

Figure 7: Maritime disruption has featured a lot less than tariffs in the market's mind



Source : Deutsche Bank, Bloomberg Finance LP

Figure 8: Even as physical supply disruptions have had larger economic effects than tariffs



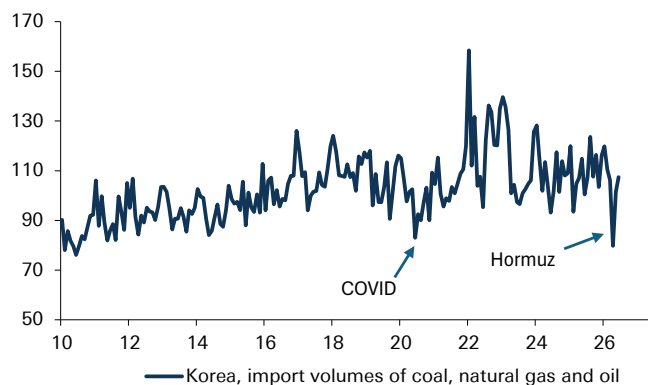
Source : Deutsche Bank, Haver Analytics

22 IMF [Working Paper](#), "From Ports to Prices," February 2026

23 IMF WEOs April 2022 and October 2025.

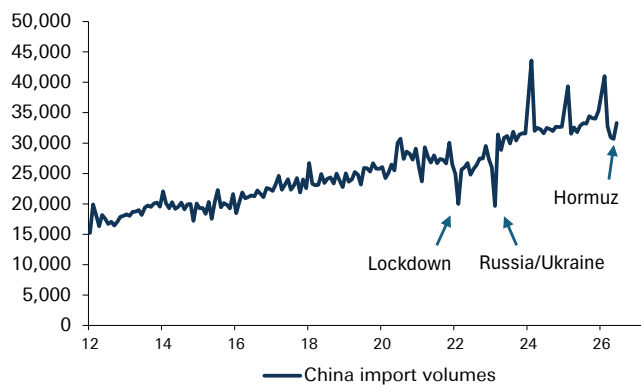


Figure 9: Physical supply shocks have also had material effects on import volumes, especially in Asian economies such as Korea...



Source : Deutsche Bank, Haver Analytics

Figure 10: ...or China



Source : Deutsche Bank, Haver Analytics

## Assessing the importance of maritime shocks

With this in mind, the first step for market participants to be better prepared for maritime shocks is to distinguish between their severity. We distinguish between three broad kinds of shocks, and identify some salient characteristics of each.

### 1. Localised maritime disruption, factors generating higher insurance costs, country specific sanctions.

Examples of the least severe, but still relevant, maritime supply shock would include the sanctioning of Russian seaborne oil by the United States and EU after 2022, Houthi attacks on commercial shipping in the Red Sea in 2023 or pirate attacks off the Horn of Africa.

More limited maritime shocks of this nature can be disruptive, but their economic effects are generally short lived owing to the capacity of the international shipping industry to substitute routes or exporters or otherwise manage risks. They are more likely to manifest themselves in terms of **price** rather than **volume** effects.

Important transmission mechanisms for prices are increased freight rates, which in turn owe to higher insurance costs or demand bottlenecks. This was evident, for example, during the surge in Somali piracy attacks in 2011 which resulted in increased costs for the shipping industry due to ransom and kidnap insurance, but in many cases did not stop ships transiting close to the horn of Africa.<sup>24</sup> In these more localised disruptions, shipping companies can choose to re-route. This was the case following the Houthi attacks in 2023 which saw numerous vessels choose to take the lengthier Cape of Good Hope route from Europe to Asia and is reflected in the recent rise in ship ton miles relative to ship tons transported internationally according to UN data (figure 12). Similarly, in response to Russia's blockade of the Black Sea, Ukraine was able to successively reroute a proportion of its grain exports via the Danube or overland routes.<sup>25</sup> Still a third option available to ships in these more limited disruptions include re-flagging vessels. Russia has employed re-flagging of oil carriers as part of its 'shadow fleet' following Western sanctions.

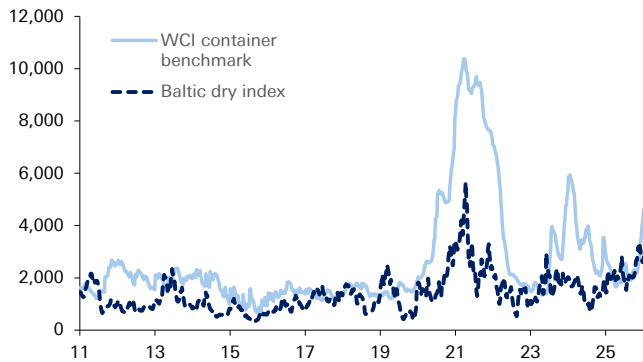
<sup>24</sup> See 'From the Oceans' report [here](#)

<sup>25</sup> [Council for Foreign Relations Report](#), February 2024



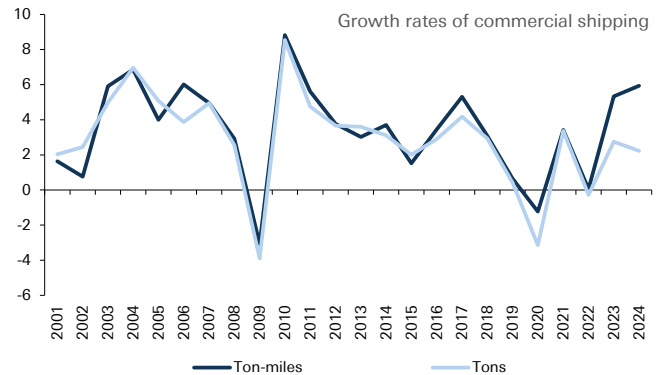
Indeed, 'flags of convenience' are often employed to avoid both the threat of interception by belligerent states, regulatory requirements and in certain cases tax and registration costs.<sup>26</sup>

**Figure 11: Container freight rates tend to be more sensitive to geopolitical shocks, but both container and bulk shipping have been affected**



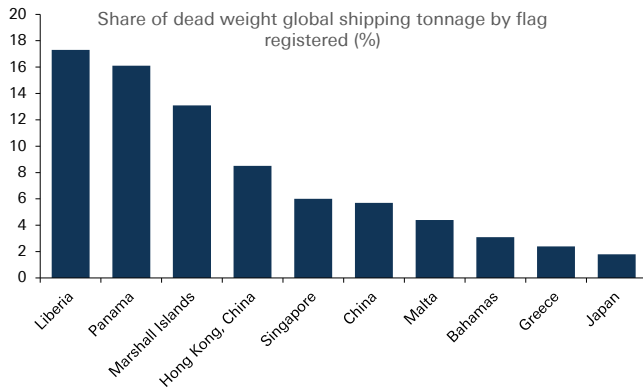
Source : Deutsche Bank, Bloomberg Finance LP

**Figure 12: Distances travelled are outstripping tons transported in terms of growth rates of maritime trade, owing to recent disruptions**



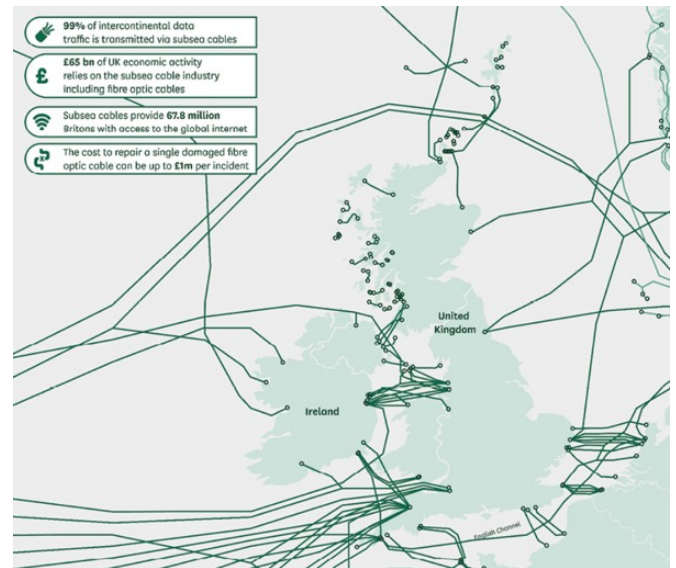
Source : Deutsche Bank, UNCTAD Review of Maritime Transport

**Figure 13: 'Flags of convenience' dominate global commercial shipping**



Source : Deutsche Bank, UN Maritime factsheet

**Figure 14: The UK is one of the most vulnerable countries globally to disruption to sub sea cables**



Source : House of Lords

Another example of more limited maritime disruption would be to undersea cables. A recent UK House of Lords Joint Committee addresses the risks associated with the UK's extensive network of over 60 undersea cables. It concluded that the severing of a number of cables was manageable from a communication continuity perspective due to redundancy and rerouting, but that a severe disruption (large

<sup>26</sup> [PBS report](#)



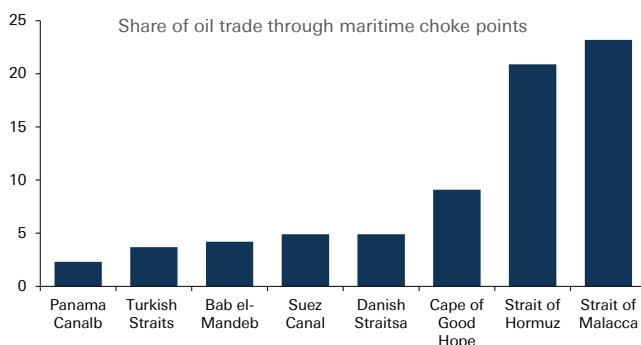
scale attacks on cable infrastructure) could have more severe economic and financial consequences.<sup>27</sup>

## 2. Regional disruption or blockade with limited capacity for trade substitution.

An obvious example of this more severe form of maritime supply shock is the current crisis in the Gulf. Owing to the share of crude oil transported via the Strait of Hormuz (21%) and Bab el Mandeb (4.2%), as well as the share of LNG (20%) transported through the region, and its importance for other commodities such as nitrates, the effect of the twin blockades of the Straits of Hormuz and Bab el Mandeb has proved much more difficult for suppliers and the international shipping industry to work around. Moreover, war risk premiums from the insurance market have become prohibitively high, or in certain cases cancelled altogether for high risk vessels.<sup>28</sup> Re-flagging of vessels can be of limited use in the event of maritime blockade, where interdiction extends to all commercial vessels regardless of flag.

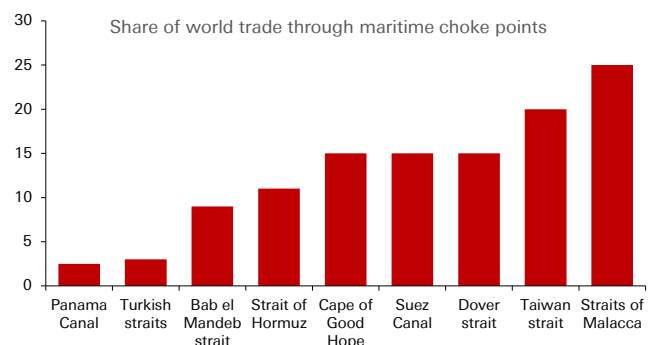
Figures 15 and 16 illustrate the relative importance of different maritime choke points for oil and world trade respectively. It should be noted, however, that the share of trade transiting through these locations does not, on its own, determine the severity of maritime shocks. Geography matters. There are alternatives to transit through the strait of Malacca for commercial vessels transiting to East Asia, even if these involve higher costs and lengthier journeys. By contrast, the 'twin blockade' of Hormuz and Bab el Mandeb has proved problematic due to the fact that it effectively has disrupted both of the main routes of supply for Saudi oil even if, over time, land based alternatives will become available. Correspondingly, the economic impact of these developments has been more severe, and manifested themselves in physical supply shortages, in other words **volume** as well as **price** effects.

Figure 15: The straits of Malacca and Hormuz are overwhelmingly the world's most important transit points for oil



Source : Deutsche Bank, IEA

Figure 16: But there are multiple choke points for world trade, including the Taiwan strait, Dover strait and Suez Canal



Source : Deutsche Bank, various sources including the UN, IEA, think tank reports

<sup>27</sup> [House of Lords Report](#) September 2025

<sup>28</sup> [Lloyds List](#) March 2026



Figure 17: The 'twin blockades' of Hormuz and Bab El Mandeb have meaningfully hindered global oil exports



Source : Deutsche Bank, map generated by Copilot

### 3. Global disruption or an extremely severe regional disruption.

The third category of severity has not occurred in market participants' living memory with the only analogies being the shocks to international commerce occurring during the First and Second World Wars. Maritime blockades imposed during these conflicts, and reciprocal attacks on commercial shipping both of belligerents and neutrals across the world, devastated international trade and financial flows.

Outside of a world war, however, another form of severe maritime shocks would involve disruption in the Indo Pacific maritime region, more specifically the South China Sea, East China Sea and Taiwan Strait. First, the region is immensely important from a global trade perspective. The South China Sea carries over a third of global maritime trade and hosts the world's six busiest container ports, while the wider Indo Pacific region host two thirds of global commerce. The straits of Taiwan and Malacca are the two single most important global maritime choke points. Second, economies in the region are highly dependent on maritime commerce for export and energy needs, with economies such as Japan, Korea and Singapore almost entirely dependent on maritime trade of their energy needs. Third, the region carries a complex and dangerous set of competing territorial, economic and strategic claims.



Figure 18: The two most important choke points for global trade are in the South China Sea and Taiwan Strait



Source : Deutsche Bank, map generated by Co-Pilot

Fully elucidating the complexities of this region are beyond the scope of this paper, but briefly these revolve around a series of bilateral and multilateral territorial claims. First, in the East China Sea between China, Japan and Taiwan, principally focusing on the Senkaku/Diaoyu islands and to a lesser extent the contested atoll of Okinotori. Second in the South China Sea between China, Malaysia, Vietnam and the Philippines predominantly focusing on the Spratly Islands, Scarborough Shoal and Paracel Islands. Third, with respect to contested sovereignty over Taiwan. These are in turn related to economic claims concerning natural resources (especially the exploitation of potential oil and gas reserves) and fisheries.<sup>29</sup>

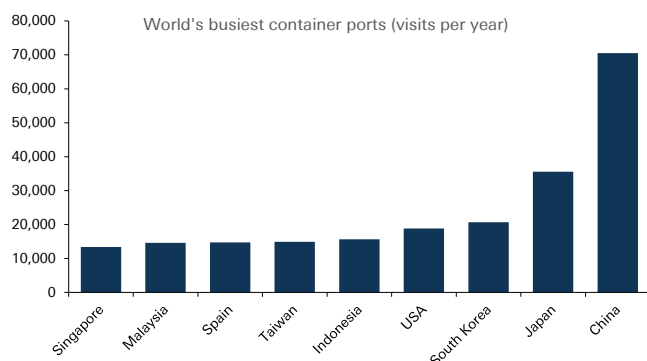
The legal architecture under UNCLOS has been used as an arbitration mechanism over many of these claims (for example recently with respect to both Okintori and in a dispute between the Philippines and China over the nine dash line which the latter claims provides wide ranging sovereign and economic rights over the South China Sea). Even more importantly, UNCLOS has provided the legal basis for the United States and other allies to assert freedom of navigation rights in the region. Among these has been the Taiwan Strait, where UNCLOS's definition of an international strait has underpinned the US and other nations' rights to both freedom of navigation and overflight, as well as military exercises.<sup>30</sup> This illustrates once again the importance of the existing legal architecture governing maritime rights, and the potential negative spillovers should the architecture or states' willingness to enforce it, unravel.

29 For a useful discussion of these claims, see Triki, ".[Understanding the South China Sea Crisis: State Claims, International Interventions and Implications](#)," Asia and the Pacific Policy Studies, January 2026. See Also, [War on the Rocks](#), One Sea, Near Sea, Whose Seas? May 2024

30 See, for example, [CIMSEC](#), Naval Operations and the Right to Operate Freely in the Taiwan Strait, 2022

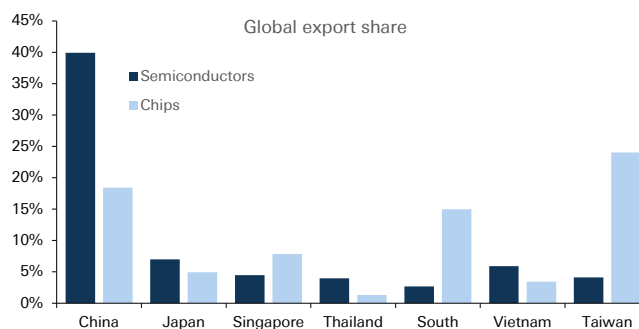


Figure 19: Almost all of the world's busiest container ports operate in the Eastern Pacific



Source : Deutsche Bank, Atlantic Council

Figure 20: The region also dominates market share in electronics



Source : Deutsche Bank, Observatory of Economic Complexity

In this context it is disquieting that both military planners and policy analysts have been dedicating increasing attention to the possibility of China adopting an economic approach, largely through maritime channels, to attempt to settle the long standing dispute over Taiwanese sovereignty.<sup>31</sup> On the one hand, a blockade or quarantine of Taiwan might be seen as a positive relative to the alternative of a more kinetic military approach, by carrying less human costs, as well as reducing the scope for intervention by other powers.<sup>32</sup> On the other hand, such an action is designed to maximise the economic costs for Taiwan, with major consequences for the global economy.

Of even greater concern would be a Taiwan crisis that spills over into a broader regional maritime crisis. Recently, rivals to China, especially Japan and the Philippines, have sought to enhance security cooperation with Taiwan, which risks creating what Chinese military planners have called a 'Three Seas Problem' in which the entire eastern seaboard of China becomes one theatre of operations.<sup>33</sup> Another concern among analysts relates to a potential counter-blockade by the United States of the Strait of Malacca. Still a further potential axis of escalation concerns the Sunda Strait. Indonesia has been increasingly assertive in its sovereign claims over its archipelagic waters, leading some US analysts to worry a non-aligned Indonesia could close the strait as part of its non-alignment policy.<sup>34</sup>

The importance of Taiwan in the semi-conductor supply chain is well understood, as illustrated by the proliferation of reports on the subject, and even a crisis that was limited to simply a blockade of that country, in the absence of any wider escalation, could lead to significant losses of global output.

The knock on consequences of wider regional maritime disruption, even if this were confined to the purely economic sphere, would be far more disruptive. Consider a scenario in which a Chinese maritime blockade or quarantine on Taiwan was met

31 [Atlantic Council Strategy Paper](#), "A Maritime Blockade of Taiwan By the People's Republic of China, December 2023

32 The difference between a blockade and quarantine largely boils down to whether it is executed via military actors like naval forces or non-military forces, in China's case the People's Armed Forces Maritime Militia. See [here](#)

33 Luo, Shuxian "A Rock and China's Three Seas Problem," [War on the Rocks](#), August 2026

34 [CSIS Report](#), "Why the US Navy Must Resume FONOPS in Indonesia," December 2025



with a counter-blockade from the United States and its allies Japan and Korea extending from the Taiwanese Strait to the Strait of Malacca. Such an approach may be an appealing alternative to direct military confrontation with China. This would have a chilling effect on maritime trade throughout the region, leading to sharp rises in insurance premiums, port closures and the practical cessation of commercial shipping. With the region dominating global container trade (figure 19), electronics exports (figure 20), as well as myriad other consumer and intermediate goods, the effect on international trade would only be comparable to twentieth century world wars, and would almost certainly be consistent with a global recession.

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## Assessing country vulnerability

The final port of call for this report is to assess how threats to the freedom of the seas impact financial variables.

First, the increased frequency of maritime disruption is a negative supply shock, and as such likely to put upward pressure on inflation and downward pressure on demand. The former is likely to dominate when it comes to interest rates. Under a severe maritime disruption, this may be exacerbated by the pressure placed on exchange rates, especially if central banks seek to curb volatility by defending currencies. For example, in the event of a severe disruption to Taiwanese trade, it is possible to envisage the central bank stepping in to prevent financial markets from exacerbating the shock, utilising foreign exchange reserves and therefore principally treasuries in doing so.

Figure 21 provides an illustrative scorecard of relative vulnerability to maritime shocks. Economies are more vulnerable if they have a larger share of maritime trade or energy imports relative to GDP, or if they are an island state. They are less vulnerable if they have a stronger navy (measured by WDMMW database). Strikingly, the most vulnerable economies are all located in Asia or Europe, with Singapore, the Philippines, Vietnam, the Netherlands and Korea all highly open economies with a heavy reliance on maritime trade, but with limited naval resources. In contrast, larger economies with multiple land borders like the US, Russia, China and Brazil score as much less vulnerable. Translating this into actionable trade or investment ideas is not the point of the table below, but it should serve as a guide for investors and corporates as to the potential vulnerability by country to severe maritime disruption, and the increasing use of the sea as a theatre for geoeconomic competition.



Figure 21: Maritime vulnerability scorecard

|             | Maritime imports as share of GDP | Seaborne imports of oil and gas % GDP | Naval power index | Island or limited land alternatives? |
|-------------|----------------------------------|---------------------------------------|-------------------|--------------------------------------|
| Singapore   | 17%                              | 8%                                    | 43.2              | Yes                                  |
| Philippines | 11%                              | 4%                                    | 37                | Yes                                  |
| Vietnam     | 20%                              | 3%                                    | 2                 | -                                    |
| Netherlands | 14%                              | 3%                                    | 37.3              | -                                    |
| Korea       | 11%                              | 3%                                    | 122.9             | Yes                                  |
| Australia   | 10%                              | 0%                                    | 48.9              | Yes                                  |
| Belgium     | 17%                              | 0%                                    | 7.6               | -                                    |
| Spain       | 7%                               | 2%                                    | 56                | -                                    |
| Japan       | 6%                               | 1%                                    | 121.3             | Yes                                  |
| Germany     | 12%                              | 0%                                    | 54.7              | -                                    |
| Indonesia   | 5%                               | 2%                                    | 137.3             | Yes                                  |
| UK          | 4%                               | 1%                                    | 88.3              | Yes                                  |
| India       | 4%                               | 4%                                    | 100.5             | -                                    |
| Italy       | 6%                               | 2%                                    | 80.7              | -                                    |
| France      | 7%                               | 1%                                    | 92.9              | -                                    |
| Türkiye     | 8%                               | 0%                                    | 80.5              | -                                    |
| Brazil      | 7%                               | 0%                                    | 39.9              | -                                    |
| China       | 3%                               | 2%                                    | 319.8             | -                                    |
| Russia      | 4%                               | 0%                                    | 242.3             | -                                    |
| USA         | 4%                               | 0%                                    | 323.9             | -                                    |

Source : Deutsche Bank, Bloomberg Finance LP, WDMWW database



## Appendix 1

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